



CH Technologies (USA) Inc.

263 Center Avenue  
Westwood, New Jersey 07675  
(201) 666-2335; FAX (201) 666-8119  
TIN # 22-3311321

## QUOTATION

| DATE       | Number   |
|------------|----------|
| 12/13/2007 | 2007-536 |

| BILL TO                                                                                               |
|-------------------------------------------------------------------------------------------------------|
| R.J. Reynolds Tobacco Company<br>Disbursements Accounting<br>P.O. Box 2955<br>Winston-Salem, NC 27102 |

| SHIP TO                                                                                                    |
|------------------------------------------------------------------------------------------------------------|
| R.J. Reynolds Tobacco Company<br>Att: Paul Ayres<br>950 Reynolds Blvd<br>Dock 1<br>Winston-Salem, NC 27105 |

| ARO/PO Ship Date | Payment Terms   | Your REP | Ship Via      | Origin       | CH Contact Rep |
|------------------|-----------------|----------|---------------|--------------|----------------|
| 6 weeks          | Lease Agreement | RJJ      | Fedex freight | Westwood, NJ | Rudy Jaeger    |

| ITEM   | DESCRIPTION                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | QTY  | RATE      | AMOUNT    |
|--------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|-----------|-----------|
| rental | <p>Monthly rental of CSM - 2082 with FMI pump and Infra red lamp or resistive ignition as described below:<br/>The Jaeger-Baumgartner CSM 2082 as currently configured will allow for puffs at 60, 30, 20 and 15 second intervals (requires multiple pumps, only two port pumps supplied) while operating in the one RPM mode. Puff duration is two seconds with opening and closing times per port being symmetric and consistent with FTC and ISO specifications. Charging and lighting of each cigarette can be done in discontinuous and continuous rotational modes. Ignition of each cigarette can be with gas flame, electrical resistance heating and Infra Red igniters. Ignition can occur with preheating at - 2 seconds (with or without a puff) and at time zero.</p> <p>With additional pumps, in addition to once per minute (60seconds per FTC), inter puff interval as noted above can be as short as 15 seconds (4 puffs per minute), 20 seconds (3 puffs per minute) or 30 seconds (two puffs per minute for Massachusetts and Canadian Intense Regime smoking). Puff volumes can be changed from 35 to 45 to 55 to 70 ml depending on the smoke pump used. The addition of one or more dual chamber (paired-piston) human puff profile pumps will allow each puffing port (up to 7 per rotation) to be puffed for two seconds (more or less as the human puff profile dictates). Use of a CSM controlled and programmed FMI type dual piston</p> | 3.00 | 21,500.00 | 64,500.00 |

**Subtotal**

**Total**

**TERMS:**

- \*\* GOODS SUBJECT TO PRIOR SALE
- \*\* QUOTE IS VALID FOR 30 DAYS ONLY
- \*\* TOTAL IN US DOLLARS UNLESS NOTED
- \*\* FOB Westwood, NJ USA UNLESS OTHERWISE NOTED
- \*\* ALL DUTIES, CUSTOMS, STORAGE, TAXES, FEES, and IMPORTATION COSTS TO BE PAID BY CUSTOMER UNLESS



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| ITEM | DESCRIPTION                                                                                                                                                                                                                                                                                                                                                                                         | QTY | RATE | AMOUNT |
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|      | <p>pump (horizontally opposed) will allow a symmetrical bell shaped puff to be taken once (one pump) or twice (two pumps) per rotation.</p> <p>The JB CSM-2082 is the most flexible cigarette smoking machine available today and traces its history to the Coggins-Baumgartner and AMESA smoking machines that were originally developed by Battelle Geneva for use in tobacco smoke research.</p> |     |      |        |

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| ITEM              | DESCRIPTION                                                                                                                                                                                                                                                                                                                                                                                                                                    | QTY  | RATE     | AMOUNT   |
|-------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|----------|----------|
| Install / service | Terms: Customer pays all shipping, duties and taxes from factory. Full credit against a purchase price of \$150,000 (base charge of \$125,000 plus custom programing and preparation for IR Ignition option). Purchase price includes installation by service engineer. Customer must prepay return costs to factory if purchase option is not exercised.<br>On site installation and service - 3 days plus estimated air fare and subsistence | 1.00 | 7,500.00 | 7,500.00 |

**Subtotal** \$72,000.00

**Total** \$72,000.00

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